

JGB forecast: Modest bear-flattening as the BoJ catches up with the curve

DESKNOTE

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OUR KEY VIEWS

- We revise our JGB forecasts in accordance with our new [BoJ forecast](#). We expect that rise in JGB yields to be relatively modest in 2027 compared to the past year's significant climb and to concentrate in the 2-5y part of the curve.
- If the BoJ hikes in September (i.e. at a three-monthly interval), as we assume, the market's perception that it is "behind-the-curve" should soften, helping support long- and super long-end yields. At c.5%, 10y10y looks attractive for the next three quarters.
- As we expect the BoJ to pause once the policy rate reaches 1.75% in 2027, we see steepening pressure returning then.

Sep, Dec, Bank hike: After July's hawkish policy meeting, the market started to increase expectation for faster hike by the BoJ and OIS rate for September BoJ rose by 10bp to 1.13% (60% priced in). We now see it hiking by 25bp every three months from September to 1.75% in March 2027, followed by an 'on-hold period', before resuming hikes to reach a terminal rate of 2.50% in 2028 (see note "[BoJ to hike to 1.75% by spring 2027, terminal rate of 2.50% by Q3 2028](#)", 6 August. We are revising our JGB yield forecasts on the back of this view.

Until now, the 2y has been the sector most resistant to pricing in BoJ hiking, primarily because of the perception that the BoJ is "behind the curve", but also because of the heavy negative carry for shorting 2y, i.e., 12–14bp for three months. We still think the 2y yield will rise only as the BoJ hikes. Should the pace of hikes itself accelerate, we expect the 2y yield to rise accordingly. We think 2s10s could finally bear-flatten, albeit not aggressively (see Figure 1).

Up to 5y: Based on our standard exercise to work out implied rate hike path by the JGB curve, we recognize that the implied path is some three months lagged relative to our forecast path (Figure 2), according to our analysis. At 1.55% yield, the 2y JGB comfortably prices in a 2% policy rate in two years' time, and 2.1% for 5y JGB prices in above 2% in four years' time. Compared to the yield rise over the past year therefore, the climb over the next year should be moderate, in our analysis (Figure 3).

In our policy rate forecasting, we assume the BoJ pauses after hiking to 1.75% in March 2027, based on the scheduled changes in board members, which are expected to make the BoJ's board less hawkish (July 2027). In this context, we examine the US and EUR to see where the 2y could trade versus the policy rate during the rate-hike cycle.

In a relatively steady hike cycle, we find the 2y spread essentially tightens monotonically as the 2y has fewer hikes to price into the cycle. On the other hand, during the Fed hiking cycle in 2015–18, there were two pauses. In both pauses, the 2y yield initially fell in response to 'no immediate rate hike', but later rebounded (Figures 4, 5). We find this interesting and incorporate it into our forecast for 2027 (Figure 1), where the 2y stops rising at 1.95% in Q2 2027, yet super-long-end yields increase. We therefore expect the 2s10s to stop flattening in mid-2027 before resuming in 2028.

Fig. 1: BNP's JGB yield forecasts (%)

		2026		2027				2028			
	05-Aug	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4
IOER	1.00	1.25	1.50	1.75	1.75	1.75	2.00	2.00	2.25	2.50	2.50
2-year	1.57	1.65	1.75	1.95	1.95	2.05	2.25	2.25	2.50	2.60	2.60
5-year	2.07	2.25	2.25	2.40	2.35	2.50	2.70	2.70	2.85	2.95	2.90
10-year	2.82	2.90	2.90	2.95	2.95	3.15	3.25	3.20	3.25	3.30	3.25
20-year	3.69	3.75	3.75	3.70	3.80	3.95	4.05	4.00	3.95	3.95	3.90
30-year	4.00	4.05	4.05	3.95	4.10	4.20	4.30	4.25	4.15	4.15	4.10
40-year	3.98	4.05	4.05	3.95	4.10	4.20	4.30	4.25	4.15	4.20	4.15
2s10s	126	125	115	100	100	110	100	95	75	70	65
10s30s	118	115	115	100	115	105	105	105	90	85	85
10y10y	4.97	5.00	5.00	4.80	5.06	5.15	5.27	5.21	5.00	4.93	4.87

Sources: Bloomberg, BNP Paribas

Fiscal risk from JPY370trn investment is likely priced in by 10y at 2.9%

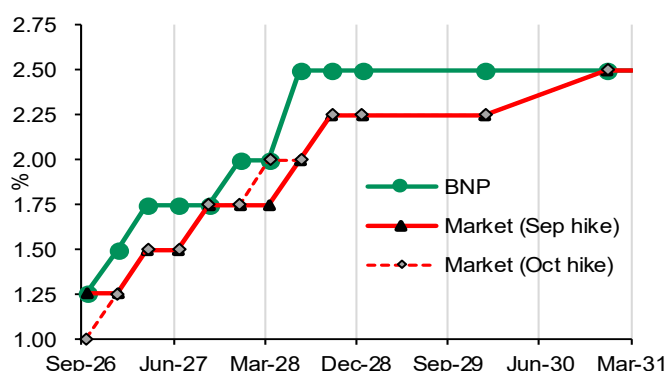
10y: If the BoJ does hike every three months, the market's view that it is "behind the curve" is likely to soften, in our view, albeit not disappear altogether. We would therefore expect upward pressure on long-term yields to also ease.

From a fiscal perspective, we think the 10y yield at 2.9%, the peak in the Basic Fiscal Policy draft, has largely priced in near-term fiscal risk. Since the government issued its targeted "JPY370trn investment by 2040" [statement](#) on 24 June, we view that the market has priced in net new JGB supply in the region of JPY40trn (about a JPY10trn increase on 2026) for FY2027 in conjunction with the Basic Fiscal Policy draft.

We expect the government to devise some form of 'fiscal engineering' to fund the cut in the 2y consumption tax to 1% (JPY5trn multiplied by two years), potentially including a larger assumption for tax revenue and stealth tax hikes.

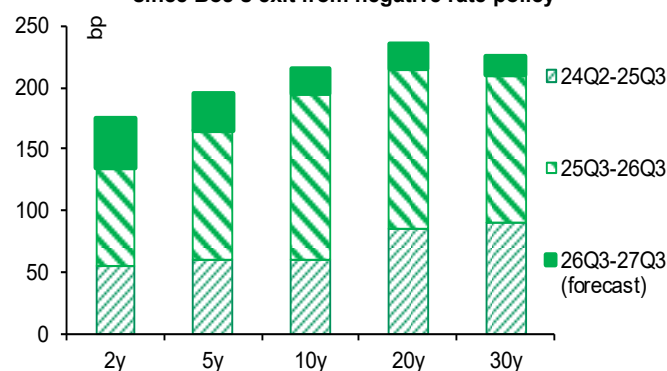
However, with budget discussions starting in September and the diet session beginning in Q4, we anticipate upward pressure on yields. This year, financing the consumption tax cut has been an issue. We expect that market to stabilize by year end when the cabinet approves the 2027 budget.

Fig. 2: BNP's forecast policy rate path vs. the implied path from JGB yields up to five years



Sources: Bloomberg, BNP Paribas

Fig. 3: BNP's JGB forecast for 2026-27 measured by yield change (bp) relative to the yield change for the past two years since BoJ's exit from negative rate policy



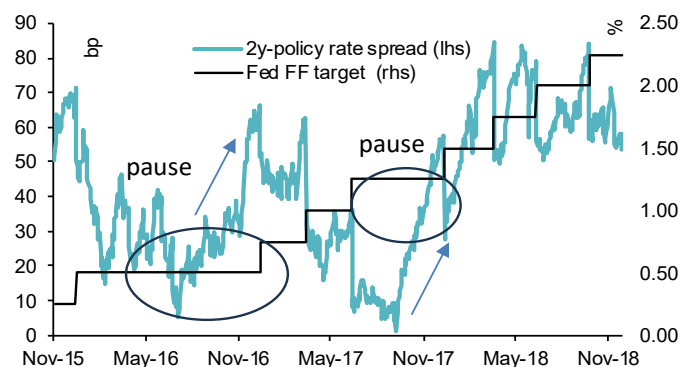
Sources: Bloomberg, BNP Paribas

Fig. 4: Policy rate vs. 2y during various rate-hiking cycles

	Hike cycle	# months	total hike (bp)	policy-2y (bp)
ECB	Dec 05-Jul07	21	200	180->130
	Jun 22-Sep 23	16	450	170->-50
Fed	Jun 04-June06	25	400	200->-100
	Dec 15-Dec18	37	200	60->0->70
	Mar22-Jul23	17	500	200->-100
BoJ	Jun06-Feb07	9	50	90->50
	Mar24-(Sep28?)	55	260	30->70->50 (current)

Sources: Bloomberg, BNP Paribas

Fig. 5: 2y-policy rate spread during Fed hike in 2015-2018



Sources: Bloomberg, BNP Paribas

At 5%, long 10y10y is attractive for the next three quarters, in our view

Over 10y: We think it is reasonable to argue that the 20s30s is visibly under bear-flattening trend and 10s20s has lagged but still demonstrates some flattening (Figure 6). Much of the superlong's outperformance relates to the supply reduction during 2025–26, when supply was cut by about a third compared with 2023 (Figure 7).

Such reduction likely more than offset the demand reduction from the life insurance sector. At the same time, we expect the sector to benefit if the market views the BoJ as being less “behind the curve” along with the 10y.

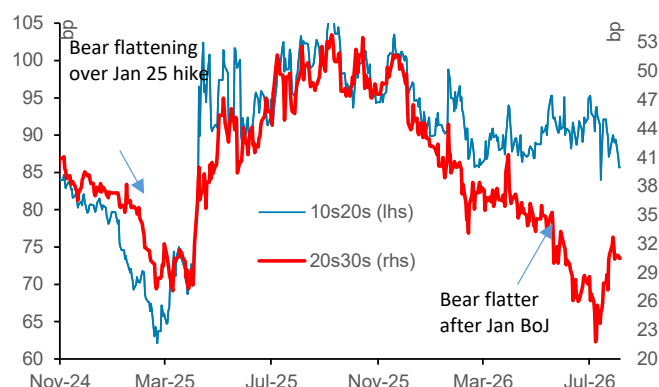
While 20y supply has been cut by a similar proportion to the 30y and 40y since 2024 (20y was cut in 2024 while 30y and 40y were not), the 20y has underperformed the 30y and 40y. In July, 40y richened aggressively, likely attracting special demand for the maturity (may not necessarily be demand for duration), with 30s40s inverting by 10bp at one stage and the 30y10y forward richening to 3.2% (Figure 8).

We therefore argue that at 5%, the 10y10y or 20y10y is attractive to take a long position, should the BoJ deliver a three-monthly hiking pace in the next three quarters. We think the 10y10y could encounter upward pressure again in late 2027 if the BoJ then pauses its hiking cycle ~~to hike~~. We prefer 10y10y to 20y10y given the additional rolldown.

One negative factor for the 20y sector often flagged is the outlook for the BoJ's rinban. For 10y-25y supply, rinban is expected to be cut most in the next quarter because the BoJ's purchased share versus gross supply for the sector is still larger than that of other sectors (Figure 9).

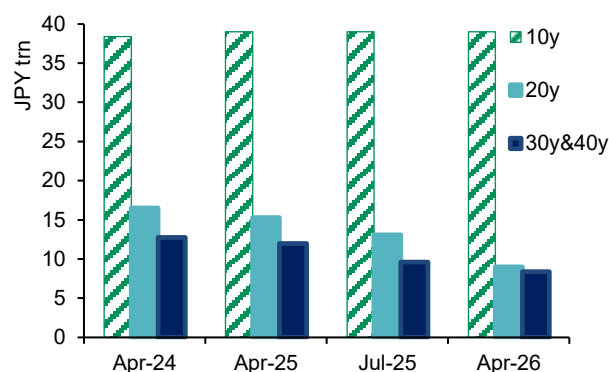
While we appreciate this risk, especially at the time of the announcement (end September), we expect its impact to be temporary as the proportions in each sector more or less align in Q4.

Fig 6: JGB 10s20s and 20s30s



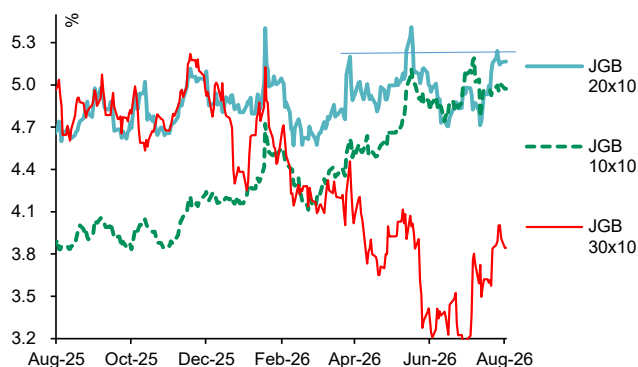
Sources: Bloomberg, BNP Paribas

Fig 7: Annualized supply for 10y and superlong JGBs



Sources: MoF, BNP Paribas

Fig 8: JGB forward yields peaking at around 5%



Sources: Bloomberg, BNP Paribas

Fig 9: Share of BoJ's rinban purchases vs. gross supply

Sector		1-3y	3-5y	5-10y	10-25y	25y+	Total (ex. <1y)
Q4 2025		33%	35%	35%	43%	17%	3.2
Q1 2026		29%	29%	30%	36%	17%	2.8
Q2 2026		27%	28%	28%	34%	20%	2.6
Q3 2026		25%	26%	26%	29%	20%	2.4
Forecast	Q4 2026	22%	24%	24%	26%	20%	2.2
	Q1 2027	20%	22%	21%	21%		2.0

JPY tn

Sources: MoF, BoJ, BNP Paribas

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BNPP understand the importance of protecting confidential information and maintain a “need to know” approach when dealing with any confidential information. Information barriers are a key arrangement we have in place in this regard. Such arrangements, along with embedded policies and procedures, provide that information held in the course of carrying on one part of its business to be withheld from and not to be used in the course of carrying on another part of its business. It is a way of managing conflicts of interest whereby the business of the bank is separated by physical and non-physical information barriers. The Control Room manages this information flow between different areas of the bank where confidential information including inside information and proprietary information is safeguarded. There is also a conflict clearance process before getting involved in a deal or transaction.

In addition, there is a mitigation measure to manage conflicts of interest for each transaction with controls put in place to restrict the information flow, involvement of personnel and handling of client relations between each transaction in such a way that the different interests are appropriately protected. Gifts and Entertainment policy is to monitor physical gifts, benefits and invitation to events that is in line with the firm policy and Anti-Bribery regulations. BNPP maintains several policies with respect to conflicts of interest including our Personal Account Dealing and Outside Business Interests policies which sit alongside our general Conflicts of Interest Policy, along with several policies that the firm has in place to prevent and avoid conflicts of interest.

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Where relevant, the BNPP disseminator of the investment recommendation is identified in the document including information regarding the relevant competent authorities which regulate the disseminator. The name of the individual producer within BNPP and the legal entity the individual producer is associated with is identified where relevant, in the document. The date and time of the first dissemination of this investment recommendation by BNPP is addressed where relevant, in the document. Where this investment recommendation is communicated by Bloomberg chat or by email by an individual within BNPP, the date and time of the dissemination by the relevant individual is contained, where relevant, in the communication by that individual disseminator.

The disseminator and producer of the investment recommendations are part of the same group, i.e. the BNPP group. The relevant Market Abuse Regulation disclosures required to be made by producers and disseminators of investment recommendations are provided by the producer for and on behalf of the BNPP Group legal entities disseminating those recommendations and the same disclosures also apply to the disseminator.

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